

# Internal Revenue Code (Title 26, U.S. Code) - Selected Sections

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## 26 U.S. Code § 1 - Tax imposed

U.S. Code

Notes

Authorities (CFR)

[prev](#) | [next](#)

(a) Married individuals filing joint returns and surviving spouses There is hereby imposed on the taxable income of—

(1)

every married individual (as defined in section 7703 ) who makes a single return jointly with his spouse under section 6013, and

(2)

every surviving spouse (as defined in section 2(a)),

a tax determined in accordance with the following table:

If taxable income is:

The tax is:

Not over \$36,900

15% of taxable income.

Over \$36,900 but not over \$89,150

\$5,535, plus 28% of the excess over \$36,900.

Over \$89,150 but not over \$140,000

\$20,165, plus 31% of the excess over \$89,150.

Over \$140,000 but not over \$250,000

\$35,928.50, plus 36% of the excess over \$140,000.

Over \$250,000

\$75,528.50, plus 39.6% of the excess over \$250,000.

(b) Heads of households

There is hereby imposed on the taxable income of every head of a household (as defined in section 2(b)) a tax determined in accordance with the following table:

If taxable income is:

The tax is:

Not over \$29,600

15% of taxable income.

Over \$29,600 but not over \$76,400

\$4,440, plus 28% of the excess over \$29,600.

Over \$76,400 but not over \$127,500

\$17,544, plus 31% of the excess over \$76,400.

Over \$127,500 but not over \$250,000

\$33,385, plus 36% of the excess over \$127,500.

Over \$250,000

\$77,485, plus 39.6% of the excess over \$250,000.

(c) Unmarried individuals (other than surviving spouses and heads of households)

There is hereby imposed on the taxable income of every individual (other than a surviving spouse as defined in section 2(a) or the head of a household as defined in section 2(b)) who is not a married individual (as defined in section 7703 ) a tax determined in accordance with the following table:

If taxable income is:

The tax is:

Not over \$22,100

15% of taxable income.

Over \$22,100 but not over \$53,500

\$3,315, plus 28% of the excess over \$22,100.

Over \$53,500 but not over \$115,000

\$12,107, plus 31% of the excess over \$53,500.

Over \$115,000 but not over \$250,000

\$31,172, plus 36% of the excess over \$115,000.

Over \$250,000

\$79,772, plus 39.6% of the excess over \$250,000.

(d) Married individuals filing separate returns

There is hereby imposed on the taxable income of every married individual (as defined in section 7703 ) who does not make a single return jointly with his spouse under section 6013, a tax determined in accordance with the following table:

If taxable income is:

The tax is:

Not over \$18,450

15% of taxable income.

Over \$18,450 but not over \$44,575

\$2,767.50, plus 28% of the excess over \$18,450.

Over \$44,575 but not over \$70,000

\$10,082.50, plus 31% of the excess over \$44,575.

Over \$70,000 but not over \$125,000

\$17,964.25, plus 36% of the excess over \$70,000.

Over \$125,000

\$37,764.25, plus 39.6% of the excess over \$125,000.

(e) Estates and trusts There is hereby imposed on the taxable income of—

(1)

every estate, and

(2)

every trust,

taxable under this subsection a tax determined in accordance with the following table:

If taxable income is:

The tax is:

Not over \$1,500

15% of taxable income.

Over \$1,500 but not over \$3,500

\$225, plus 28% of the excess over \$1,500.

Over \$3,500 but not over \$5,500

\$785, plus 31% of the excess over \$3,500.

Over \$5,500 but not over \$7,500

\$1,405, plus 36% of the excess over \$5,500.

Over \$7,500

\$2,125, plus 39.6% of the excess over \$7,500.

(f) Phaseout of marriage penalty in 15-percent bracket; adjustments in tax tables so that inflation will not result in tax increases

(1) In general

Not later than December 15 of 1993, and each subsequent calendar year, the Secretary shall prescribe tables which shall apply in lieu of the tables contained in subsections (a), (b), (c), (d), and (e) with respect to taxable years beginning in the succeeding calendar year.

(2) Method of prescribing tables The table which under paragraph (1) is to apply in lieu of the table contained in subsection (a), (b), (c), (d), or (e), as the case may be, with respect to taxable years beginning in any calendar year shall be prescribed—

(A) except as provided in paragraph (8), by increasing the minimum and maximum dollar amounts for each bracket for which a tax is imposed under such table by the cost-of-living adjustment for such calendar year, determined—

(i)

except as provided in clause (ii), by substituting “1992” for “2016” in paragraph (3)(A)(ii), and

(ii)

in the case of adjustments to the dollar amounts at which the 36 percent rate bracket begins or at which the 39.6 percent rate bracket begins, by substituting “1993” for “2016” in paragraph (3)(A)(ii),

(B)

by not changing the rate applicable to any rate bracket as adjusted under subparagraph (A), and

(C)

by adjusting the amounts setting forth the tax to the extent necessary to reflect the adjustments in the rate brackets.

(3) Cost-of-living adjustment For purposes of this subsection—

(A) In general The cost-of-living adjustment for any calendar year is the percentage (if any) by which—

(i)

the C-CPI-U for the preceding calendar year, exceeds

(ii)

the CPI for calendar year 2016, multiplied by the amount determined under subparagraph (B).

(B) Amount determined The amount determined under this clause is the amount obtained by dividing—

(i)

the C-CPI-U for calendar year 2016, by

(ii)

the CPI for calendar year 2016.

(C) Special rule for adjustments with a base year after 2016

For purposes of any provision of this title which provides for the substitution of a year after 2016 for “2016” in subparagraph (A)(ii), subparagraph (A) shall be applied by substituting “the C-CPI-U for calendar year 2016” for “the CPI for calendar year 2016” and all that follows in clause (ii) thereof.

(4) CPI for any calendar year

For purposes of paragraph (3), the CPI for any calendar year is the average of the Consumer Price Index as of the close of the 12-month period ending on August 31 of such calendar year.

(5) Consumer Price Index

For purposes of paragraph (4), the term “ Consumer Price Index ” means the last Consumer Price Index for all-urban consumers published by the Department of Labor . For purposes of the preceding sentence, the revision of the Consumer Price Index which is most consistent with the Consumer Price Index for calendar year 1986 shall be used.

(6) C-CPI-U For purposes of this subsection—

(A) In general

The term “ C-CPI-U ” means the Chained Consumer Price Index for All Urban Consumers (as published by the Bureau of Labor Statistics of the Department of Labor ). The values of the Chained Consumer Price Index for All Urban Consumers taken into account for purposes of determining the cost-of-living adjustment for any calendar year under this subsection shall be the latest values so published as of the date on which such Bureau publishes the initial value of the Chained Consumer Price Index for All Urban Consumers for the month of August for the preceding calendar year.

(B) Determination for calendar year

The C-CPI-U for any calendar year is the average of the C-CPI-U as of the close of the 12-month period ending on August 31 of such calendar year.

(7) Rounding

(A) In general

If any increase determined under paragraph (2)(A), section 63(c)(4), section 68(b)(2) [1] or section 151(d)(4) is not a multiple of \$50, such increase shall be rounded to the next lowest multiple of \$50.

(B) Table for married individuals filing separately

In the case of a married individual filing a separate return, subparagraph (A) (other than with respect to sections 63(c)(4) and 151(d)(4)(A) ) shall be applied by substituting “\$25” for “\$50” each place it appears.

(8) Elimination of marriage penalty in 15-percent bracket With respect to taxable years beginning after December 31, 2003 , in prescribing the tables under paragraph (1)—

(A)

the maximum taxable income in the 15-percent rate bracket in the table contained in subsection (a) (and the minimum taxable income in the next higher taxable income bracket in such table) shall be 200 percent of the maximum taxable income in the 15-percent rate bracket in the table contained in subsection (c) (after any other adjustment under this subsection), and

(B)

the comparable taxable income amounts in the table contained in subsection (d) shall be  $\frac{1}{2}$  of the amounts determined under subparagraph (A).

(g) Certain unearned income of children taxed as if parent's income

(1) In general In the case of any child to whom this subsection applies, the tax imposed by this section shall be equal to the greater of—

(A)

the tax imposed by this section without regard to this subsection, or

(B) the sum of—

(i)

the tax which would be imposed by this section if the taxable income of such child for the taxable year were reduced by the net unearned income of such child, plus

(ii)

such child's share of the allocable parental tax .

(2) Child to whom subsection applies This subsection shall apply to any child for any taxable year if—

(A) such child—

(i)

has not attained age 18 before the close of the taxable year, or

(ii)

(I)

has attained age 18 before the close of the taxable year and meets the age requirements of section 152(c)(3) (determined without regard to subparagraph (B) thereof), and

(II)

whose earned income (as defined in section 911(d)(2)) for such taxable year does not exceed one-half of the amount of the individual's support (within the meaning of section 152(c)(1)(D) after the application of section 152(f)(5) (without regard to subparagraph (A) thereof)) for such taxable year,

(B)

either parent of such child is alive at the close of the taxable year, and

(C)

such child does not file a joint return for the taxable year.

(3) Allocable parental tax For purposes of this subsection—

(A) In general The term “ allocable parental tax ” means the excess of—

(i)

the tax which would be imposed by this section on the parent’s taxable income if such income included the net unearned income of all children of the parent to whom this subsection applies, over

(ii)

the tax imposed by this section on the parent without regard to this subsection.

For purposes of clause (i), net unearned income of all children of the parent shall not be taken into account in computing any exclusion, deduction, or credit of the parent.

(B) Child’s share

A child’s share of any allocable parental tax of a parent shall be equal to an amount which bears the same ratio to the total allocable parental tax as the child’s net unearned income bears to the aggregate net unearned income of all children of such parent to whom this subsection applies.

(C) Special rule where parent has different taxable year

Except as provided in regulations, if the parent does not have the same taxable year as the child, the allocable parental tax shall be determined on the basis of the taxable year of the parent ending in the child’s taxable year.

(4) Net unearned income For purposes of this subsection—

(A) In general The term “ net unearned income ” means the excess of—

(i)

the portion of the adjusted gross income for the taxable year which is not attributable to earned income (as defined in section 911(d)(2) ), over

(ii) the sum of—

(I)

the amount in effect for the taxable year under section 63(c)(5)(A) (relating to limitation on standard deduction in the case of certain dependents), plus

(II)

the greater of the amount described in subclause (I) or, if the child itemizes his deductions for the taxable year, the amount of the itemized deductions allowed by this chapter for the taxable year which are directly connected with the production of the portion of adjusted gross income referred to in clause (i).

(B) Limitation based on taxable income

The amount of the net unearned income for any taxable year shall not exceed the individual’s taxable income for such taxable year.

(C) Treatment of distributions from qualified disability trusts

For purposes of this subsection, in the case of any child who is a beneficiary of a qualified disability trust (as defined in section 642(b)(2)(C)(ii) ), any amount included in the income of such child under sections 652 and 662 during a taxable year shall be considered earned income of such child for such taxable year.

(5) Special rules for determining parent to whom subsection applies For purposes of this subsection, the parent whose taxable income shall be taken into account shall be—

(A)

in the case of parents who are not married (within the meaning of section 7703), the custodial parent (within the meaning of section 152(e)) of the child, and

(B)

in the case of married individuals filing separately, the individual with the greater taxable income.

(6) Providing of parent's TIN

The parent of any child to whom this subsection applies for any taxable year shall provide the TIN of such parent to such child and such child shall include such TIN on the child's return of tax imposed by this section for such taxable year.

(7) Election to claim certain unearned income of child on parent's return

(A) In general If—

(i)

any child to whom this subsection applies has gross income for the taxable year only from interest and dividends (including Alaska Permanent Fund dividends),

(ii)

such gross income is more than the amount described in paragraph (4)(A)(ii)(I) and less than 10 times the amount so described,

(iii)

no estimated tax payments for such year are made in the name and TIN of such child, and no amount has been deducted and withheld under section 3406, and

(iv)

the parent of such child (as determined under paragraph (5)) elects the application of subparagraph (B),

such child shall be treated (other than for purposes of this paragraph) as having no gross income for such year and shall not be required to file a return under section 6012.

(B) Income included on parent's return In the case of a parent making the election under this paragraph—

(i)

the gross income of each child to whom such election applies (to the extent the gross income of such child exceeds twice the amount described in paragraph (4)(A)(ii)(I)) shall be included in such parent's gross income



for the taxable year,

(ii) the tax imposed by this section for such year with respect to such parent shall be the amount equal to the sum of—

(I)

the amount determined under this section after the application of clause (i), plus

(II)

for each such child, 10 percent of the lesser of the amount described in paragraph (4)(A)(ii)(I) or the excess of the gross income of such child over the amount so described, and

(iii)

any interest which is an item of tax preference under section 57(a)(5) of the child shall be treated as an item of tax preference of such parent (and not of such child).

(C) Regulations

The Secretary shall prescribe such regulations as may be necessary or appropriate to carry out the purposes of this paragraph.

(h) Maximum capital gains rate

(1) In general If a taxpayer has a net capital gain for any taxable year, the tax imposed by this section for such taxable year shall not exceed the sum of—

(A) a tax computed at the rates and in the same manner as if this subsection had not been enacted on the greater of—

(i)

taxable income reduced by the net capital gain ; or

(ii) the lesser of—

(I)

the amount of taxable income taxed at a rate below 25 percent; or

(II)

taxable income reduced by the adjusted net capital gain ;

(B) 0 percent of so much of the adjusted net capital gain (or, if less, taxable income) as does not exceed the excess (if any) of—

(i)

the amount of taxable income which would (without regard to this paragraph) be taxed at a rate below 25 percent, over

(ii)

the taxable income reduced by the adjusted net capital gain ;

(C) 15 percent of the lesser of—

(i)

so much of the adjusted net capital gain (or, if less, taxable income) as exceeds the amount on which a tax is determined under subparagraph (B), or

(ii) the excess of—

(I)

the amount of taxable income which would (without regard to this paragraph) be taxed at a rate below 39.6 percent, over

(II)

the sum of the amounts on which a tax is determined under subparagraphs (A) and (B),

(D)

20 percent of the adjusted net capital gain (or, if less, taxable income) in excess of the sum of the amounts on which tax is determined under subparagraphs (B) and (C),

(E) 25 percent of the excess (if any) of—

(i)

the unrecaptured section 1250 gain (or, if less, the net capital gain (determined without regard to paragraph (11))), over

(ii) the excess (if any) of—

(I)

the sum of the amount on which tax is determined under subparagraph (A) plus the net capital gain , over

(II)

taxable income; and

(F)

28 percent of the amount of taxable income in excess of the sum of the amounts on which tax is determined under the preceding subparagraphs of this paragraph.

(2) Net capital gain taken into account as investment income

For purposes of this subsection, the net capital gain for any taxable year shall be reduced (but not below zero) by the amount which the taxpayer takes into account as investment income under section 163(d)(4)(B)(iii).

(3) Adjusted net capital gain For purposes of this subsection, the term “ adjusted net capital gain ” means the sum of—

(A)

net capital gain (determined without regard to paragraph (11)) reduced (but not below zero) by the sum of—

(i)

unrecaptured section 1250 gain, and

(ii)

28-percent rate gain , plus

(B)

qualified dividend income (as defined in paragraph (11)).

(4) 28-percent rate gain For purposes of this subsection, the term “ 28-percent rate gain ” means the excess (if any) of—

(A) the sum of—

(i)

collectibles gain ; and

(ii)

section 1202 gain, over

(B) the sum of—

(i)

collectibles loss ;

(ii)

the net short-term capital loss; and

(iii)

the amount of long-term capital loss carried under section 1212(b)(1)(B) to the taxable year.

(5) Collectibles gain and loss For purposes of this subsection—

(A) In general

The terms “ collectibles gain ” and “collectibles loss” mean gain or loss (respectively) from the sale or exchange of a collectible (as defined in section 408(m) without regard to paragraph (3) thereof) which is a capital asset held for more than 1 year but only to the extent such gain is taken into account in computing gross income and such loss is taken into account in computing taxable income.

(B) Partnerships, etc.

For purposes of subparagraph (A), any gain from the sale of an interest in a partnership, S corporation, or trust which is attributable to unrealized appreciation in the value of collectibles shall be treated as gain from the sale or exchange of a collectible. Rules similar to the rules of section 751 shall apply for purposes of the preceding sentence.

(6) Unrecaptured section 1250 gain For purposes of this subsection—

(A) In general The term “unrecaptured section 1250 gain” means the excess (if any) of—

(i)

the amount of long-term capital gain (not otherwise treated as ordinary income) which would be treated as ordinary income if section 1250(b)(1) included all depreciation and the applicable percentage under section 1250(a) were 100 percent, over

(ii) the excess (if any) of—

(I)

the amount described in paragraph (4)(B); over

(II)

the amount described in paragraph (4)(A).

(B) Limitation with respect to section 1231 property

The amount described in subparagraph (A)(i) from sales, exchanges, and conversions described in section 1231(a)(3)(A) for any taxable year shall not exceed the net section 1231 gain (as defined in section 1231(c)(3)) for such year.

(7)

## **Section 1202**

gain For purposes of this subsection, the term “ section 1202 gain” means the excess of—

(A)

the gain which would be excluded from gross income under section 1202 but for the percentage limitation in section 1202(a), over

(B)

the gain excluded from gross income under section 1202.

(8) Coordination with recapture of net ordinary losses under section 1231

If any amount is treated as ordinary income under section 1231(c), such amount shall be allocated among the separate categories of net section 1231 gain (as defined in section 1231(c)(3)) in such manner as the Secretary may by forms or regulations prescribe.

(9) Regulations

The Secretary may prescribe such regulations as are appropriate (including regulations requiring reporting) to apply this subsection in the case of sales and exchanges by pass-thru entities and of interests in such entities.

(10) Pass-thru entity defined For purposes of this subsection, the term “ pass-thru entity ” means—

(A)

a regulated investment company;

(B)

a real estate investment trust;

(C)

an S corporation;

(D)

a partnership;

(E)

an estate or trust;

(F)

a common trust fund; and

(G)

a qualified electing fund (as defined in section 1295 ).

(11) Dividends taxed as net capital gain

(A) In general

For purposes of this subsection, the term “ net capital gain ” means net capital gain (determined without regard to this paragraph) increased by qualified dividend income .

(B) Qualified dividend income For purposes of this paragraph—

(i) In general The term “ qualified dividend income ” means dividends received during the taxable year from—

(I)

domestic corporations, and

(II)

qualified foreign corporations .

(ii) Certain dividends excluded Such term shall not include—

(I)

any dividend from a corporation which for the taxable year of the corporation in which the distribution is made, or the preceding taxable year, is a corporation exempt from tax under section 501 or 521,

(II)

any amount allowed as a deduction under section 591 (relating to deduction for dividends paid by mutual savings banks, etc.), and

(III)

any dividend described in section 404(k).

(iii) Coordination with section 246(c) Such term shall not include any dividend on any share of stock—

(I)

with respect to which the holding period requirements of section 246(c) are not met (determined by substituting in section 246(c) “60 days” for “45 days” each place it appears and by substituting “121-day period” for “91-day period”), or

(II)

to the extent that the taxpayer is under an obligation (whether pursuant to a short sale or otherwise) to make related payments with respect to positions in substantially similar or related property.

(C) Qualified foreign corporations

(i) In general Except as otherwise provided in this paragraph, the term “ qualified foreign corporation ” means any foreign corporation if—

(I)

such corporation is incorporated in a possession of the United States, or

(II)

such corporation is eligible for benefits of a comprehensive income tax treaty with the United States which the Secretary determines is satisfactory for purposes of this paragraph and which includes an exchange of information program.

(ii) Dividends on stock readily tradable on United States securities market

A foreign corporation not otherwise treated as a qualified foreign corporation under clause (i) shall be so treated with respect to any dividend paid by such corporation if the stock with respect to which such dividend is paid is readily tradable on an established securities market in the United States.

(iii) Exclusion of dividends of certain foreign corporations Such term shall not include—

(I)

any foreign corporation which for the taxable year of the corporation in which the dividend was paid, or the preceding taxable year, is a passive foreign investment company (as defined in section 1297 ), and

(II)

any corporation which first becomes a surrogate foreign corporation (as defined in section 7874(a)(2)(B)) after the date of the enactment of this subclause, other than a foreign corporation which is treated as a domestic corporation under section 7874(b).

(iv) Coordination with foreign tax credit limitation

Rules similar to the rules of section 904(b)(2)(B) shall apply with respect to the dividend rate differential under this paragraph.

(D) Special rules

(i) Amounts taken into account as investment income

Qualified dividend income shall not include any amount which the taxpayer takes into account as investment income under section 163(d)(4)(B).

(ii) Extraordinary dividends

If a taxpayer to whom this section applies receives, with respect to any share of stock, qualified dividend income from 1 or more dividends which are extraordinary dividends (within the meaning of section 1059(c) ), any loss on the sale or exchange of such share shall, to the extent of such dividends, be treated as long-term capital loss.

(iii) Treatment of dividends from regulated investment companies and real estate investment trusts

A dividend received from a regulated investment company or a real estate investment trust shall be subject to the limitations prescribed in sections 854 and 857.

(i) Rate reductions after 2000

(1) 10-percent rate bracket

(A) In general In the case of taxable years beginning after December 31, 2000 —

(i)

the rate of tax under subsections (a), (b), (c), and (d) on taxable income not over the initial bracket amount shall be 10 percent, and

(ii)

the 15 percent rate of tax shall apply only to taxable income over the initial bracket amount but not over the maximum dollar amount for the 15-percent rate bracket.

(B) Initial bracket amount For purposes of this paragraph, the initial bracket amount is—

(i)

\$14,000 in the case of subsection (a),

(ii)

\$10,000 in the case of subsection (b), and

(iii)

½ the amount applicable under clause (i) (after adjustment, if any, under subparagraph (C)) in the case of subsections (c) and (d).

(C) Inflation adjustment In prescribing the tables under subsection (f) which apply with respect to taxable years beginning in calendar years after 2003—

(i)

the cost-of-living adjustment shall be determined under subsection (f)(3) by substituting “2002” for “2016” in subparagraph (A)(ii) thereof, and

(ii)

the adjustments under clause (i) shall not apply to the amount referred to in subparagraph (B)(iii).

If any amount after adjustment under the preceding sentence is not a multiple of \$50, such amount shall be rounded to the next lowest multiple of \$50.

(2) 25-, 28-, and 33-percent rate brackets The tables under subsections (a), (b), (c), (d), and (e) shall be applied—

(A)

by substituting “25%” for “28%” each place it appears (before the application of subparagraph (B)),

(B)

by substituting “28%” for “31%” each place it appears, and

(C)

by substituting “33%” for “36%” each place it appears.

(3) Modifications to income tax brackets for high-income taxpayers

(A) 35-percent rate bracket In the case of taxable years beginning after December 31, 2012 —

(i) the rate of tax under subsections (a), (b), (c), and (d) on a taxpayer’s taxable income in the highest rate bracket shall be 35 percent to the extent such income does not exceed an amount equal to the excess of—

(I)

the applicable threshold , over

(II)

the dollar amount at which such bracket begins, and

(ii)

the 39.6 percent rate of tax under such subsections shall apply only to the taxpayer’s taxable income in such bracket in excess of the amount to which clause (i) applies.

(B) Applicable threshold For purposes of this paragraph, the term “ applicable threshold ” means—

(i)

\$450,000 in the case of subsection (a),

(ii)

\$425,000 in the case of subsection (b),

(iii)

\$400,000 in the case of subsection (c), and

(iv)

½ the amount applicable under clause (i) (after adjustment, if any, under subparagraph (C)) in the case of subsection (d).

(C) Inflation adjustment

For purposes of this paragraph, with respect to taxable years beginning in calendar years after 2013, each of the dollar amounts under clauses (i), (ii), and (iii) of subparagraph (B) shall be adjusted in the same manner as



under paragraph (1)(C)(i), except that subsection (f)(3)(A)(ii) shall be applied by substituting “2012” for “2016”.

(4) Adjustment of tables

The Secretary shall adjust the tables prescribed under subsection (f) to carry out this subsection.

(j) Modifications for taxable years beginning after 2017

(1) In general In the case of a taxable year beginning after December 31, 2017 —

(A)

subsection (i) shall not apply, and

(B)

this section (other than subsection (i)) shall be applied as provided in paragraphs (2) through (6).

(2) Rate tables

(A) Married individuals filing joint returns and surviving spouses

The following table shall be applied in lieu of the table contained in subsection (a):

If taxable income is:

The tax is:

Not over \$19,050

10% of taxable income.

Over \$19,050 but not over \$77,400

\$1,905, plus 12% of the excess over \$19,050.

Over \$77,400 but not over \$165,000

\$8,907, plus 22% of the excess over \$77,400.

Over \$165,000 but not over \$315,000

\$28,179, plus 24% of the excess over \$165,000.

Over \$315,000 but not over \$400,000

\$64,179, plus 32% of the excess over \$315,000.

Over \$400,000 but not over \$600,000

\$91,379, plus 35% of the excess over \$400,000.

Over \$600,000

\$161,379, plus 37% of the excess over \$600,000.

(B) Heads of households

The following table shall be applied in lieu of the table contained in subsection (b):

If taxable income is:

The tax is:

Not over \$13,600

10% of taxable income.

Over \$13,600 but not over \$51,800

\$1,360, plus 12% of the excess over \$13,600.

Over \$51,800 but not over \$82,500

\$5,944, plus 22% of the excess over \$51,800.

Over \$82,500 but not over \$157,500

\$12,698, plus 24% of the excess over \$82,500.

Over \$157,500 but not over \$200,000

\$30,698, plus 32% of the excess over \$157,500.

Over \$200,000 but not over \$500,000

\$44,298, plus 35% of the excess over \$200,000.

Over \$500,000

\$149,298, plus 37% of the excess over \$500,000.

(C) Unmarried individuals other than surviving spouses and heads of households

The following table shall be applied in lieu of the table contained in subsection (c):

If taxable income is:

The tax is:

Not over \$9,525

10% of taxable income.

Over \$9,525 but not over \$38,700

\$952.50, plus 12% of the excess over \$9,525.

Over \$38,700 but not over \$82,500

\$4,453.50, plus 22% of the excess over \$38,700.

Over \$82,500 but not over \$157,500

\$14,089.50, plus 24% of the excess over \$82,500.

Over \$157,500 but not over \$200,000

\$32,089.50, plus 32% of the excess over \$157,500.

Over \$200,000 but not over \$500,000

\$45,689.50, plus 35% of the excess over \$200,000.

Over \$500,000

\$150,689.50, plus 37% of the excess over \$500,000.

(D) Married individuals filing separate returns

The following table shall be applied in lieu of the table contained in subsection (d):

If taxable income is:

The tax is:

Not over \$9,525

10% of taxable income.

Over \$9,525 but not over \$38,700

\$952.50, plus 12% of the excess over \$9,525.

Over \$38,700 but not over \$82,500

\$4,453.50, plus 22% of the excess over \$38,700.

Over \$82,500 but not over \$157,500

\$14,089.50, plus 24% of the excess over \$82,500.

Over \$157,500 but not over \$200,000

\$32,089.50, plus 32% of the excess over \$157,500.

Over \$200,000 but not over \$300,000

\$45,689.50, plus 35% of the excess over \$200,000.

Over \$300,000

\$80,689.50, plus 37% of the excess over \$300,000.

(E) Estates and trusts

The following table shall be applied in lieu of the table contained in subsection (e):

If taxable income is:

The tax is:

Not over \$2,550

10% of taxable income.

Over \$2,550 but not over \$9,150

\$255, plus 24% of the excess over \$2,550.

Over \$9,150 but not over \$12,500

\$1,839, plus 35% of the excess over \$9,150.

Over \$12,500

\$3,011.50, plus 37% of the excess over \$12,500.

(F) References to rate tables

Any reference in this title to a rate of tax under subsection (c) shall be treated as a reference to the corresponding rate bracket under subparagraph (C) of this paragraph, except that the reference in section 3402(q)(1) to the third lowest rate of tax applicable under subsection (c) shall be treated as a reference to the fourth lowest rate of tax under subparagraph (C).

(3) Adjustments

(A) No adjustment in 2018

The tables contained in paragraph (2) shall apply without adjustment for taxable years beginning after December 31, 2017 , and before January 1, 2019 .

(B) Subsequent years For taxable years beginning after December 31, 2018 , the Secretary shall prescribe tables which shall apply in lieu of the tables contained in paragraph (2) in the same manner as under paragraphs (1) and (2) of subsection (f) (applied without regard to clauses (i) and (ii) of subsection (f)(2)(A)), except that in prescribing such tables—

(i)

solely for purposes of determining the dollar amounts at which any rate bracket higher than 12 percent ends and at which any rate bracket higher than 22 percent begins, subsection (f)(3) shall be applied by substituting “calendar year 2017” for “calendar year 2016” in subparagraph (A)(ii) thereof,

(ii)

subsection (f)(7)(B) shall apply to any unmarried individual other than a surviving spouse or head of household, and

(iii)

subsection (f)(8) shall not apply.

[ (4) Repealed. Pub. L. 116–94, div. O, title V, § 501(a) , Dec. 20, 2019 , 133 Stat. 3180 ]

(5) Application of current income tax brackets to capital gains brackets

(A) In general Section 1(h)(1) shall be applied—

(i)

by substituting “below the maximum zero rate amount” for “which would (without regard to this paragraph) be taxed at a rate below 25 percent” in subparagraph (B)(i), and

(ii)

by substituting “below the maximum 15-percent rate amount” for “which would (without regard to this paragraph) be taxed at a rate below 39.6 percent” in subparagraph (C)(ii)(I).

(B) Maximum amounts defined For purposes of applying section 1(h) with the modifications described in subparagraph (A)—

(i) Maximum zero rate amount The maximum zero rate amount shall be—

(I)

in the case of a joint return or surviving spouse, \$77,200,

(II)

in the case of an individual who is a head of household (as defined in section 2(b)), \$51,700,

(III)

in the case of any other individual (other than an estate or trust), an amount equal to  $\frac{1}{2}$  of the amount in effect for the taxable year under subclause (I), and

(IV)

in the case of an estate or trust, \$2,600.

(ii) Maximum 15-percent rate amount The maximum 15-percent rate amount shall be—

(I)

in the case of a joint return or surviving spouse, \$479,000 ( $\frac{1}{2}$  such amount in the case of a married individual filing a separate return),

(II)

in the case of an individual who is the head of a household (as defined in section 2(b)), \$452,400,

(III)

in the case of any other individual (other than an estate or trust), \$425,800, and

(IV)

in the case of an estate or trust, \$12,700.

(C) Inflation adjustment In the case of any taxable year beginning after 2018, each of the dollar amounts in clauses (i) and (ii) of subparagraph (B) shall be increased by an amount equal to—

(i)

such dollar amount, multiplied by

(ii)

the cost-of-living adjustment determined under subsection (f)(3) for the calendar year in which the taxable year begins, determined by substituting “calendar year 2017” for “calendar year 2016” in subparagraph (A)(ii) thereof.

If any increase under this subparagraph is not a multiple of \$50, such increase shall be rounded to the next lowest multiple of \$50.

(6)

## Section 15

not to apply

## Section 15

shall not apply to any change in a rate of tax by reason of this subsection.

(Aug. 16, 1954, ch. 736, 68A Stat. 5 ; Pub. L. 88–272, title I, § 111 , Feb. 26, 1964 , 78 Stat. 19 ; Pub. L. 89–809, title I, § 103(a)(2) , Nov. 13, 1966 , 80 Stat. 1550 ; Pub. L. 91–172, title VIII, § 803(a) , Dec. 30, 1969 , 83 Stat. 678 ; Pub. L. 95–30, title I, § 101(a) , May 23, 1977 , 91 Stat. 127 ; Pub. L. 95–600, title I, § 101(a) , Nov. 6, 1978 , 92 Stat. 2767 ; Pub. L. 97–34, title I, §§ 101(a), 104(a), Aug. 13, 1981 , 95 Stat. 176 , 188; Pub. L. 97–448, title I, § 101(a)(3) , Jan. 12, 1983 , 96 Stat. 2366 ; Pub. L. 99–514, title I, § 101(a) , title III, § 302(a), title XIV, § 1411(a), Oct. 22, 1986 , 100 Stat. 2096 , 2218, 2714; Pub. L. 100–647, title I, §§ 1001(a)(3), 1014(e)(1)–(3), (6), (7), title VI, § 6006(a), Nov. 10, 1988 , 102 Stat. 3349 , 3561, 3562, 3686; Pub. L. 101–239, title VII, §§ 7811(j)(1), 7816(b), 7831(a), Dec. 19, 1989 , 103 Stat. 2411 , 2420, 2425; Pub. L. 101–508, title XI , §§ 11101(a)–(c), (d)(1)(A), (2), 11103(c), 11104(b), Nov. 5, 1990 , 104 Stat. 1388–403 to 1388–406, 1388–408; Pub. L. 103–66, title XIII , §§ 13201(a), (b)(3)(A), (B), 13202(a), 13206(d)(2), Aug. 10, 1993 , 107 Stat. 457 , 459, 461, 467; Pub. L. 104–188, title I, § 1704(m)(1) , (2), Aug. 20, 1996 , 110 Stat. 1882 , 1883; Pub. L. 105–34, title III, § 311(a) , Aug. 5, 1997 , 111 Stat. 831 ; Pub. L. 105–206, title V, § 5001(a)(1) –(4), title VI, §§ 6005(d)(1), 6007(f)(1), July 22, 1998 , 112 Stat. 787 , 788, 800, 810; Pub. L. 105–277, div. J, title IV, § 4002(i)(1) , (3), Oct. 21, 1998 , 112 Stat. 2681–907 , 2681–908; Pub. L. 106–554, § 1(a)(7) [title I, § 117(b)(1)] , Dec. 21, 2000 , 114 Stat. 2763 , 2763A–604; Pub. L. 107–16, title I, § 101(a) , (c)(1), (2), title III, §§ 301(c)(1), 302(a), (b), June 7, 2001 , 115 Stat. 41 , 43, 54; Pub. L. 108–27, title I, §§ 102(a), (b)(1), 104(a), (b), 105(a), title III, §§ 301(a)(1), (2)(A), (b)(1), 302(a), (e)(1), May 28, 2003 , 117 Stat. 754 , 755, 758, 760, 763; Pub. L. 108–311, title I, § 101(c) , (d), title IV, §§ 402(a)(1)–(3), 408(a)(1), (2), Oct. 4, 2004 , 118 Stat. 1167 , 1168, 1184, 1190; Pub. L. 108–357, title IV, § 413(c)(1) , Oct. 22, 2004 , 118 Stat. 1506 ; Pub. L. 109–222, title V, § 510(a) —(c), May 17, 2006 , 120 Stat. 364 ; Pub. L. 110–28, title VIII, § 8241(a) , (b), May 25, 2007 , 121 Stat. 199 ; Pub. L. 110–185, title I, § 101(f)(2) , Feb. 13, 2008 , 122 Stat. 617 ; Pub. L. 112–240, title I, §§ 101(b)(1), 102(b)(1), (c)(2), Jan. 2, 2013 , 126 Stat. 2316 , 2318, 2319; Pub. L. 113–295, div. A, title II, § 221(a)(1) , Dec. 19, 2014 , 128 Stat. 4037 ; Pub. L. 115–97, title I, §§ 11001(a), 11002(a)–(c), 14223(a), Dec. 22, 2017 , 131 Stat. 2054 , 2059, 2220; Pub. L. 116–94, div. O, title V, § 501(a) , Dec. 20, 2019 , 133 Stat. 3180 ; Pub. L. 119–21, title VII, § 70101(a) , (b), July 4, 2025 , 139 Stat. 158 .)

[1] See References in Text note below.

Inflation Adjusted Items for Certain Years

For inflation adjustment of certain items in this section, see Revenue Procedures listed in a table below.

## 26 U.S. Code § 24 - Child tax credit

U.S. Code

(a) Allowance of credit

There shall be allowed as a credit against the tax imposed by this chapter for the taxable year with respect to each qualifying child of the taxpayer for which the taxpayer is allowed a deduction under section 151 an amount equal to \$1,000.

(b) Limitations

(1) Limitation based on adjusted gross income

The amount of the credit allowable under subsection (a) shall be reduced (but not below zero) by \$50 for each \$1,000 (or fraction thereof) by which the taxpayer's modified adjusted gross income exceeds the threshold amount . For purposes of the preceding sentence, the term "modified adjusted gross income" means adjusted gross income increased by any amount excluded from gross income under section 911, 931, or 933.

(2) Threshold amount For purposes of paragraph (1), the term " threshold amount " means—

(A)

\$110,000 in the case of a joint return,

(B)

\$75,000 in the case of an individual who is not married, and

(C)

\$55,000 in the case of a married individual filing a separate return.

For purposes of this paragraph, marital status shall be determined under section 7703.

(c) Qualifying child For purposes of this section—

(1) In general

The term " qualifying child " means a qualifying child of the taxpayer (as defined in section 152(c) ) who has not attained age 17.

(2) Exception for certain noncitizens

The term " qualifying child " shall not include any individual who would not be a dependent if subparagraph (A) of section 152(b)(3) were applied without regard to all that follows "resident of the United States".

(d) Portion of credit refundable

(1) In general The aggregate credits allowed to a taxpayer under subpart C shall be increased by the lesser of—

(A)

the credit which would be allowed under this section without regard to this subsection and the limitation under section 26(a) or

(B) the amount by which the aggregate amount of credits allowed by this subpart (determined without regard to this subsection) would increase if the limitation imposed by section 26(a) were increased by the greater of—

(i)

15 percent of so much of the taxpayer's earned income (within the meaning of section 32 ) which is taken into account in computing taxable income for the taxable year as exceeds \$3,000, or

(ii) in the case of a taxpayer with 3 or more qualifying children, the excess (if any) of—

(I)

the taxpayer's social security taxes for the taxable year, over

(II)

the credit allowed under section 32 for the taxable year.

The amount of the credit allowed under this subsection shall not be treated as a credit allowed under this subpart and shall reduce the amount of credit otherwise allowable under subsection (a) without regard to section 26(a). For purposes of subparagraph (B), any amount excluded from gross income by reason of section 112 shall be treated as earned income which is taken into account in computing taxable income for the taxable year.

(2) Social security taxes For purposes of paragraph (1)—

(A) In general The term “ social security taxes ” means, with respect to any taxpayer for any taxable year—

(i)

the amount of the taxes imposed by sections 3101 and 3201(a) on amounts received by the taxpayer during the calendar year in which the taxable year begins,

(ii)

50 percent of the taxes imposed by section 1401 on the self-employment income of the taxpayer for the taxable year, and

(iii)

50 percent of the taxes imposed by section 3211(a) on amounts received by the taxpayer during the calendar year in which the taxable year begins.

(B) Coordination with special refund of social security taxes

The term “ social security taxes ” shall not include any taxes to the extent the taxpayer is entitled to a special refund of such taxes under section 6413(c).

(C) Special rule

Any amounts paid pursuant to an agreement under section 3121(l) (relating to agreements entered into by American employers with respect to foreign affiliates) which are equivalent to the taxes referred to in subparagraph (A)(i) shall be treated as taxes referred to in such subparagraph.

(3) Exception for taxpayers excluding foreign earned income



Paragraph (1) shall not apply to any taxpayer for any taxable year if such taxpayer elects to exclude any amount from gross income under section 911 for such taxable year.

(e) Identification requirements

(1) Qualifying child identification requirement

No credit shall be allowed under this section to a taxpayer with respect to any qualifying child unless the taxpayer includes the name and taxpayer identification number of such qualifying child on the return of tax for the taxable year and such taxpayer identification number was issued on or before the due date for filing such return.

(2) Taxpayer identification requirement

No credit shall be allowed under this section if the taxpayer identification number of the taxpayer was issued after the due date for filing the return for the taxable year.

(f) Taxable year must be full taxable year

Except in the case of a taxable year closed by reason of the death of the taxpayer, no credit shall be allowable under this section in the case of a taxable year covering a period of less than 12 months.

(g) Restrictions on taxpayers who improperly claimed credit in prior year

(1) Taxpayers making prior fraudulent or reckless claims

(A) In general

No credit shall be allowed under this section for any taxable year in the disallowance period.

(B) Disallowance period For purposes of subparagraph (A), the disallowance period is—

(i)

the period of 10 taxable years after the most recent taxable year for which there was a final determination that the taxpayer's claim of credit under this section was due to fraud, and

(ii)

the period of 2 taxable years after the most recent taxable year for which there was a final determination that the taxpayer's claim of credit under this section was due to reckless or intentional disregard of rules and regulations (but not due to fraud).

(2) Taxpayers making improper prior claims

In the case of a taxpayer who is denied credit under this section for any taxable year as a result of the deficiency procedures under subchapter B of chapter 63, no credit shall be allowed under this section for any subsequent taxable year unless the taxpayer provides such information as the Secretary may require to demonstrate eligibility for such credit.

(h) Special rules for taxable years beginning after 2017

(1) In general

In the case of a taxable year beginning after December 31, 2017 , this section shall be applied as provided in paragraphs (2) through (7).

(2) Credit amount

Subsection (a) shall be applied by substituting “\$2,200” for “\$1,000”.

(3) Limitation

In lieu of the amount determined under subsection (b)(2), the threshold amount shall be \$400,000 in the case of a joint return (\$200,000 in any other case).

(4) Partial credit allowed for certain other dependents

(A) In general

The credit determined under subsection (a) (after the application of paragraph (2)) shall be increased by \$500 for each dependent of the taxpayer (as defined in section 152 ) other than a qualifying child described in subsection (c).

(B) Exception for certain noncitizens

Subparagraph (A) shall not apply with respect to any individual who would not be a dependent if subparagraph (A) of section 152(b)(3) were applied without regard to all that follows “resident of the United States”.

(C) Certain qualifying children

In the case of any qualifying child with respect to whom a credit is not allowed under this section by reason of paragraph (7), such child shall be treated as a dependent to whom subparagraph (A) applies.

(5) Maximum amount of refundable credit

The amount determined under subsection (d)(1)(A) with respect to any qualifying child shall not exceed \$1,400, and such subsection shall be applied without regard to paragraph (4) of this subsection.

(6) Earned income threshold for refundable credit

Subsection (d)(1)(B)(i) shall be applied by substituting “\$2,500” for “\$3,000”.

(7) Social security number required

(A) In general No credit shall be allowed under this section to a taxpayer with respect to any qualifying child unless the taxpayer includes on the return of tax for the taxable year—

(i)

the taxpayer’s social security number (or, in the case of a joint return, the social security number of at least 1 spouse), and

(ii)

the social security number of such qualifying child.

(B) Social security number For purposes of this paragraph, the term “ social security number ” means a social security number issued to an individual by the Social Security Administration , but only if the social security number is issued—

(i)

to a citizen of the United States or pursuant to subclause (I) (or that portion of subclause (III) that relates to subclause (I)) of section 205(c)(2)(B)(i) of the Social Security Act , and

(ii)

before the due date for such return.

(i) Inflation adjustments

(1) Maximum amount of refundable credit In the case of a taxable year beginning after 2024, the \$1,400 amount in subsection (h)(5) shall be increased by an amount equal to—

(A)

such dollar amount, multiplied by

(B)

the cost-of-living adjustment determined under section 1(f)(3) for the calendar year in which the taxable year begins, determined by substituting “2017” for “2016” in subparagraph (A)(ii) thereof.

(2) Special rule for adjustment of credit amount In the case of a taxable year beginning after 2025, the \$2,200 amount in subsection (h)(2) shall be increased by an amount equal to—

(A)

such dollar amount, multiplied by

(B)

the cost-of-living adjustment determined under section 1(f)(3) for the calendar year in which the taxable year begins, determined by substituting “2024” for “2016” in subparagraph (A)(ii) thereof.

(3) Rounding

If any increase under this subsection is not a multiple of \$100, such increase shall be rounded to the next lowest multiple of \$100.

(j) Reconciliation of credit and advance credit

(1) In general

The amount of the credit allowed under this section to any taxpayer for any taxable year shall be reduced (but not below zero) by the aggregate amount of payments made under section 7527A to such taxpayer during such taxable year. Any failure to so reduce the credit shall be treated as arising out of a mathematical or clerical error and assessed according to section 6213(b)(1).

(2) Excess advance payments

(A) In general

If the aggregate amount of payments under section 7527A to the taxpayer during the taxable year exceeds the amount of the credit allowed under this section to such taxpayer for such taxable year (determined without regard to paragraph (1)), the tax imposed by this chapter for such taxable year shall be increased by the amount

of such excess. Any failure to so increase the tax shall be treated as arising out of a mathematical or clerical error and assessed according to section 6213(b)(1).

(B) Safe harbor based on modified adjusted gross income

(i) In general

In the case of a taxpayer whose modified adjusted gross income (as defined in subsection (b)) for the taxable year does not exceed 200 percent of the applicable income threshold , the amount of the increase determined under subparagraph (A) with respect to such taxpayer for such taxable year shall be reduced (but not below zero) by the safe harbor amount.

(ii) Phase out of safe harbor amount

In the case of a taxpayer whose modified adjusted gross income (as defined in subsection (b)) for the taxable year exceeds the applicable income threshold , the safe harbor amount otherwise in effect under clause (i) shall be reduced by the amount which bears the same ratio to such amount as such excess bears to the applicable income threshold .

(iii) Applicable income threshold For purposes of this subparagraph, the term “ applicable income threshold ” means—

(I)

\$60,000 in the case of a joint return or surviving spouse (as defined in section 2(a)),

(II)

\$50,000 in the case of a head of household, and

(III)

\$40,000 in any other case.

(iv) Safe harbor amount For purposes of this subparagraph, the term “ safe harbor amount ” means, with respect to any taxable year, the product of—

(I)

\$2,000, multiplied by

(II)

the excess (if any) of the number of qualified children taken into account in determining the annual advance amount with respect to the taxpayer under section 7527A with respect to months beginning in such taxable year, over the number of qualified children taken into account in determining the credit allowed under this section for such taxable year.

(k) Application of credit in possessions

(1) Mirror code possessions

(A) In general

The Secretary shall pay to each possession of the United States with a mirror code tax system amounts equal to the loss (if any) to that possession by reason of the application of this section (determined without regard to this subsection) with respect to taxable years beginning after 2020. Such amounts shall be determined by the Secretary based on information provided by the government of the respective possession.

(B) Coordination with credit allowed against United States income taxes

No credit shall be allowed under this section for any taxable year to any individual to whom a credit is allowable against taxes imposed by a possession of the United States with a mirror code tax system by reason of the application of this section in such possession for such taxable year.

(C) Mirror code tax system

For purposes of this paragraph, the term “ mirror code tax system ” means, with respect to any possession of the United States, the income tax system of such possession if the income tax liability of the residents of such possession under such system is determined by reference to the income tax laws of the United States as if such possession were the United States.

(2) Puerto Rico

(A) Application to taxable years in 2021

(i)

For application of refundable credit to residents of Puerto Rico , see subsection (i)(1).

(ii)

For nonapplication of advance payment to residents of Puerto Rico , see section 7527A(e)(4)(A).

(B) Application to taxable years after 2021 In the case of any bona fide resident of Puerto Rico (within the meaning of section 937(a) ) for any taxable year beginning after December 31, 2021 —

(i)

the credit determined under this section shall be allowable to such resident, and

(ii)

subsection (d)(1)(B)(ii) shall be applied without regard to the phrase “in the case of a taxpayer with 3 or more qualifying children”.

(3) American Samoa

(A) In general

The Secretary shall pay to American Samoa amounts estimated by the Secretary as being equal to the aggregate benefits that would have been provided to residents of American Samoa by reason of the application of this section for taxable years beginning after 2020 if the provisions of this section had been in effect in American Samoa (applied as if American Samoa were the United States and without regard to the application of this section to bona fide residents of Puerto Rico under subsection (i)(1)).

(B) Distribution requirement

Subparagraph (A) shall not apply unless American Samoa has a plan, which has been approved by the Secretary, under which American Samoa will promptly distribute such payments to its residents.

(C) Coordination with credit allowed against United States income taxes

(i) In general

In the case of a taxable year with respect to which a plan is approved under subparagraph (B), this section (other than this subsection) shall not apply to any individual eligible for a distribution under such plan.

(ii) Application of section in event of absence of approved plan In the case of a taxable year with respect to which a plan is not approved under subparagraph (B)—

(I)

if such taxable year begins in 2021, subsection (i)(1) shall be applied by substituting “bona fide resident of Puerto Rico or American Samoa” for “bona fide resident of Puerto Rico”, and

(II)

if such taxable year begins after December 31, 2021, rules similar to the rules of paragraph (2)(B) shall apply with respect to bona fide residents of American Samoa (within the meaning of section 937(a)).

(4) Treatment of payments

For purposes of section 1324 of title 31, United States Code, the payments under this subsection shall be treated in the same manner as a refund due from a credit provision referred to in subsection (b)(2) of such section.

(Added Pub. L. 105–34, title I, § 101(a), Aug. 5, 1997, 111 Stat. 796; amended Pub. L. 105–206, title VI, § 6003(a), July 22, 1998, 112 Stat. 790; Pub. L. 105–277, div. J, title II, § 2001(b), Oct. 21, 1998, 112 Stat. 2681–901; Pub. L. 106–170, title V, § 501(b)(1), Dec. 17, 1999, 113 Stat. 1919; Pub. L. 107–16, title II, §§ 201(a)–(b)(2)(C), (c)(1), (2), (d), 202(f)(2)(B), title VI, § 618(b)(2)(A), June 7, 2001, 115 Stat. 45–47, 49, 108; Pub. L. 107–90, title II, § 204(e)(1), Dec. 21, 2001, 115 Stat. 893; Pub. L. 107–147, title IV, §§ 411(b), 417(23)(A), Mar. 9, 2002, 116 Stat. 45, 57; Pub. L. 108–27, title I, § 101(a), May 28, 2003, 117 Stat. 753; Pub. L. 108–311, title I, §§ 101(a), 102(a), 104(a), title II, § 204, title IV, § 408(b)(4), Oct. 4, 2004, 118 Stat. 1167, 1168, 1176, 1192; Pub. L. 109–135, title IV, § 402(i)(3)(B), Dec. 21, 2005, 119 Stat. 2613; Pub. L. 110–172, § 11(c)(1), Dec. 29, 2007, 121 Stat. 2488; Pub. L. 110–343, div. B, title I, § 106(e)(2)(B), title II, § 205(d)(1)(A), div. C, title V, § 501(a), Oct. 3, 2008, 122 Stat. 3817, 3838, 3876; Pub. L. 110–351, title V, § 501(c)(1), Oct. 7, 2008, 122 Stat. 3979; Pub. L. 111–5, div. B, title I, §§ 1003(a), 1004(b)(1), 1142(b)(1)(A), 1144(b)(1)(A), Feb. 17, 2009, 123 Stat. 313, 314, 330, 332; Pub. L. 111–148, title X, § 10909(b)(2)(A), (c), Mar. 23, 2010, 124 Stat. 1023; Pub. L. 111–312, title I, §§ 101(b)(1), 103(b), Dec. 17, 2010, 124 Stat. 3298, 3299; Pub. L. 112–240, title I, §§ 103(b), 104(c)(2)(B), Jan. 2, 2013, 126 Stat. 2319, 2321; Pub. L. 113–295, div. A, title II, § 209(a), Dec. 19, 2014, 128 Stat. 4028; Pub. L. 114–27, title VIII, § 807(a), June 29, 2015, 129 Stat. 418; Pub. L. 114–113, div. Q, title I, § 101(a), (b), title II, §§ 205(a), (b), 208(a)(1), Dec. 18, 2015, 129 Stat. 3044, 3081, 3083; Pub. L. 115–97, title I, § 11022(a), Dec. 22, 2017, 131 Stat. 2073; Pub. L. 115–141, div. U, title I, § 101(i)(1), title IV, § 401(a)(3), Mar. 23, 2018, 132 Stat. 1162, 1184; Pub. L. 117–2, title IX, §§ 9611(a), (b)(2), 9612(a), Mar. 11, 2021, 135 Stat. 144, 148, 150; Pub. L. 119–21, title VII, § 70104(a)–(d), July 4, 2025, 139 Stat. 160, 161.)

Inflation Adjusted Items for Certain Years

For inflation adjustment of certain items in this section, see Revenue Procedures listed in a table under section 1 of this title .

## **26 U.S. Code § 61 - Gross income defined**

U.S. Code

Notes

Authorities (CFR)

[prev](#) | [next](#)

(a) General definition Except as otherwise provided in this subtitle, gross income means all income from whatever source derived, including (but not limited to) the following items:

(1)

Compensation for services, including fees, commissions, fringe benefits, and similar items;

(2)

Gross income derived from business;

(3)

Gains derived from dealings in property;

(4)

Interest;

(5)

Rents;

(6)

Royalties;

(7)

Dividends;

(8)

Annuities;

(9)

Income from life insurance and endowment contracts;

(10)

Pensions;

(11)

Income from discharge of indebtedness;

(12)

Distributive share of partnership gross income;

(13)

Income in respect of a decedent; and

(14)

Income from an interest in an estate or trust.

(b) Cross references

For items specifically included in gross income, see part II (sec. 71 and following). For items specifically excluded from gross income, see part III (sec. 101 and following).

## **26 U.S. Code § 62 - Adjusted gross income defined**

U.S. Code

Notes

Authorities (CFR)

[prev](#) | [next](#)

(a) General rule For purposes of this subtitle, the term “adjusted gross income” means, in the case of an individual, gross income minus the following deductions:

(1) Trade and business deductions

The deductions allowed by this chapter (other than by part VII of this subchapter) which are attributable to a trade or business carried on by the taxpayer, if such trade or business does not consist of the performance of services by the taxpayer as an employee.

(2) Certain trade and business deductions of employees

(A) Reimbursed expenses of employees

The deductions allowed by part VI (section 161 and following) which consist of expenses paid or incurred by the taxpayer, in connection with the performance by him of services as an employee, under a reimbursement or other expense allowance arrangement with his employer. The fact that the reimbursement may be provided by a third party shall not be determinative of whether or not the preceding sentence applies.

(B) Certain expenses of performing artists

The deductions allowed by section 162 which consist of expenses paid or incurred by a qualified performing artist in connection with the performances by him of services in the performing arts as an employee.

(C) Certain expenses of officials

The deductions allowed by section 162 which consist of expenses paid or incurred with respect to services performed by an official as an employee of a State or a political subdivision thereof in a position compensated



in whole or in part on a fee basis.

(D) Certain expenses of elementary and secondary school teachers The deductions allowed by section 162 which consist of expenses, not in excess of \$250, paid or incurred by an eligible educator—

(i)

by reason of the participation of the educator in professional development courses related to the curriculum in which the educator provides instruction or to the students for which the educator provides instruction, and

(ii)

in connection with books, supplies (other than nonathletic supplies for courses of instruction in health or physical education), computer equipment (including related software and services) and other equipment, and supplementary materials used by the eligible educator in the classroom.

(E) Certain expenses of members of reserve components of the Armed Forces of the United States

The deductions allowed by section 162 which consist of expenses, determined at a rate not in excess of the rates for travel expenses (including per diem in lieu of subsistence) authorized for employees of agencies under subchapter I of chapter 57 of title 5, United States Code, paid or incurred by the taxpayer in connection with the performance of services by such taxpayer as a member of a reserve component of the Armed Forces of the United States for any period during which such individual is more than 100 miles away from home in connection with such services.

(3) Losses from sale or exchange of property

The deductions allowed by part VI (sec. 161 and following) as losses from the sale or exchange of property.

(4) Deductions attributable to rents and royalties

The deductions allowed by part VI (sec. 161 and following), by section 212 (relating to expenses for production of income), and by section 611 (relating to depletion) which are attributable to property held for the production of rents or royalties.

(5) Certain deductions of life tenants and income beneficiaries of property

In the case of a life tenant of property, or an income beneficiary of property held in trust, or an heir, legatee, or devisee of an estate, the deduction for depreciation allowed by section 167 and the deduction allowed by section 611.

(6) Pension, profit-sharing, and annuity plans of self-employed individuals

In the case of an individual who is an employee within the meaning of section 401(c)(1), the deduction allowed by section 404.

(7) Retirement savings

The deduction allowed by section 219 (relating to deduction of certain retirement savings).

[(8) Repealed. Pub. L. 104–188, title I, § 1401(b)(4) , Aug. 20, 1996 , 110 Stat. 1788 ]

(9) Penalties forfeited because of premature withdrawal of funds from time savings accounts or deposits

The deductions allowed by section 165 for losses incurred in any transaction entered into for profit, though not connected with a trade or business, to the extent that such losses include amounts forfeited to a bank, mutual savings bank, savings and loan association, building and loan association, cooperative bank or homestead association as a penalty for premature withdrawal of funds from a time savings account, certificate of deposit, or similar class of deposit.

[(10) Repealed. Pub. L. 115–97, title I, § 11051(b)(2)(A) , Dec. 22, 2017 , 131 Stat. 2089 ]

(11) Reforestation expenses

The deduction allowed by section 194.

(12) Certain required repayments of supplemental unemployment compensation benefits

The deduction allowed by section 165 for the repayment to a trust described in paragraph (9) or (17) of section 501(c) of supplemental unemployment compensation benefits received from such trust if such repayment is required because of the receipt of trade readjustment allowances under section 231 or 232 of the Trade Act of 1974 ( 19 U.S.C. 2291 and 2292).

(13) Jury duty pay remitted to employer

Any deduction allowable under this chapter by reason of an individual remitting any portion of any jury pay to such individual's employer in exchange for payment by the employer of compensation for the period such individual was performing jury duty. For purposes of the preceding sentence, the term “ jury pay ” means any payment received by the individual for the discharge of jury duty.

[(14) Repealed. Pub. L. 113–295, div. A, title II, § 221(a)(34)(C) , Dec. 19, 2014 , 128 Stat. 4042 ]

(15) Moving expenses

The deduction allowed by section 217.

(16) Archer MSAs

The deduction allowed by section 220.

(17) Interest on education loans

The deduction allowed by section 221.

[(18) Repealed. Pub. L. 116–260, div. EE, title I, § 104(b)(2)(A) , Dec. 27, 2020 , 134 Stat. 3041 ]

(19) Health savings accounts

The deduction allowed by section 223.

(20) Costs involving discrimination suits, etc.

Any deduction allowable under this chapter for attorney fees and court costs paid by, or on behalf of, the taxpayer in connection with any action involving a claim of unlawful discrimination (as defined in subsection (e)) or a claim of a violation of subchapter III of chapter 37 of title 31, United States Code, or a claim made under section 1862(b)(3)(A) of the Social Security Act ( 42 U.S.C. 1395y(b)(3)(A) ). The preceding sentence shall not apply to any deduction in excess of the amount includible in the taxpayer's gross income for the taxable year on account of a judgment or settlement (whether by suit or agreement and whether as lump sum or

periodic payments) resulting from such claim.

(21) Attorneys' fees relating to awards to whistleblowers

(A) In general Any deduction allowable under this chapter for attorney fees and court costs paid by, or on behalf of, the taxpayer in connection with any award under—

(i)

section 7623(b), or

(ii) in the case of taxable years beginning after December 31, 2017 , any action brought under—

(I)

section 21F of the Securities Exchange Act of 1934 ( 15 U.S.C. 78u-6 ),

(II)

a State false claims act , including a State false claims act with qui tam provisions, or

(III)

section 23 of the Commodity Exchange Act ( 7 U.S.C. 26 ).

(B) May not exceed award

Subparagraph (A) shall not apply to any deduction in excess of the amount includible in the taxpayer's gross income for the taxable year on account of such award.

Nothing in this section shall permit the same item to be deducted more than once. Any deduction allowed by section 199A shall not be treated as a deduction described in any of the preceding paragraphs of this subsection.

(b) Qualified performing artist

(1) In general For purposes of subsection (a)(2)(B), the term “ qualified performing artist ” means, with respect to any taxable year, any individual if—

(A)

such individual performed services in the performing arts as an employee during the taxable year for at least 2 employers,

(B)

the aggregate amount allowable as a deduction under section 162 in connection with the performance of such services exceeds 10 percent of such individual's gross income attributable to the performance of such services, and

(C)

the adjusted gross income of such individual for the taxable year (determined without regard to subsection (a)(2)(B)) does not exceed \$16,000.

(2) Nominal employer not taken into account

An individual shall not be treated as performing services in the performing arts as an employee for any employer during any taxable year unless the amount received by such individual from such employer for the performance of such services during the taxable year equals or exceeds \$200.

(3) Special rules for married couples

(A) In general

Except in the case of a husband and wife who lived apart at all times during the taxable year, if the taxpayer is married at the close of the taxable year, subsection (a)(2)(B) shall apply only if the taxpayer and his spouse file a joint return for the taxable year.

(B) Application of paragraph (1) In the case of a joint return —

(i)

paragraph (1) (other than subparagraph (C) thereof) shall be applied separately with respect to each spouse, but

(ii)

paragraph (1)(C) shall be applied with respect to their combined adjusted gross income .

(C) Determination of marital status

For purposes of this subsection, marital status shall be determined under section 7703(a).

(D) Joint return

For purposes of this subsection, the term “ joint return ” means the joint return of a husband and wife made under section 6013.

(c) Certain arrangements not treated as reimbursement arrangements For purposes of subsection (a)(2)(A), an arrangement shall in no event be treated as a reimbursement or other expense allowance arrangement if—

(1)

such arrangement does not require the employee to substantiate the expenses covered by the arrangement to the person providing the reimbursement, or

(2)

such arrangement provides the employee the right to retain any amount in excess of the substantiated expenses covered under the arrangement.

The substantiation requirements of the preceding sentence shall not apply to any expense to the extent that substantiation is not required under section 274(d) for such expense by reason of the regulations prescribed under the 2nd sentence thereof.

(d) Definition; special rules

(1) Eligible educator

(A) In general

For purposes of subsection (a)(2)(D), the term “ eligible educator ” means, with respect to any taxable year, an individual who is a kindergarten through grade 12 teacher, instructor, counselor, principal, or aide in a school

for at least 900 hours during a school year.

(B) School

The term “ school ” means any school which provides elementary education or secondary education (kindergarten through grade 12), as determined under State law.

(2) Coordination with exclusions

A deduction shall be allowed under subsection (a)(2)(D) for expenses only to the extent the amount of such expenses exceeds the amount excludable under section 135 , 529(c)(1) , or 530(d)(2) for the taxable year.

(3) Inflation adjustment In the case of any taxable year beginning after 2015, the \$250 amount in subsection (a)(2)(D) shall be increased by an amount equal to—

(A)

such dollar amount, multiplied by

(B)

the cost-of-living adjustment determined under section 1(f)(3) for the calendar year in which the taxable year begins, determined by substituting “calendar year 2014” for “calendar year 2016” in subparagraph (A)(ii) thereof.

Any increase determined under the preceding sentence shall be rounded to the nearest multiple of \$50.

(e) Unlawful discrimination defined For purposes of subsection (a)(20), the term “ unlawful discrimination ” means an act that is unlawful under any of the following:

(1)

**Section 302 of the**

Civil Rights Act of 1991 ( 42 U.S.C. 2000e–16b ).

(2)

**Section 201, 202, 203, 204, 205, 206, 207, or 208 of the**

Congressional Accountability Act of 1995 ( 2 U.S.C. 1311 , 1312, 1313, 1314, 1315, 1316, or 1317). [1]

(3)

The National Labor Relations Act ( 29 U.S.C. 151 et seq.).

(4)

The Fair Labor Standards Act of 1938 ( 29 U.S.C. 201 et seq.).

(5)

**Section 4 or 15 of the**

Age Discrimination in Employment Act of 1967 ( 29 U.S.C. 623 or 633a).

(6)

### **Section 501 or 504 of the**

Rehabilitation Act of 1973 ( 29 U.S.C. 791 or 794).

(7)

### **Section 510 of the**

Employee Retirement Income Security Act of 1974 ( 29 U.S.C. 1140 ).

(8)

Title IX of the Education Amendments of 1972 ( 20 U.S.C. 1681 et seq.).

(9)

The Employee Polygraph Protection Act of 1988 ( 29 U.S.C. 2001 et seq.).

(10)

The Worker Adjustment and Retraining Notification Act ( 29 U.S.C. 2102 et seq.).

(11)

### **Section 105 of the**

Family and Medical Leave Act of 1993 ( 29 U.S.C. 2615 ).

(12)

Chapter 43 of title 38, United States Code (relating to employment and reemployment rights of members of the uniformed services).

(13)

### **Section 1977, 1979, or 1980 of the Revised Statutes (**

42 U.S.C. 1981 , 1983, or 1985).

(14)

### **Section 703, 704, or 717 of the**

Civil Rights Act of 1964 ( 42 U.S.C. 2000e–2 , 2000e–3, or 2000e–16).

(15)

### **Section 804, 805, 806, 808, or 818 of the**

Fair Housing Act ( 42 U.S.C. 3604 , 3605, 3606, 3608, or 3617).

(16)

## **Section 102, 202, 302, or 503 of the**

Americans with Disabilities Act of 1990 ( 42 U.S.C. 12112 , 12132, 12182, or 12203).

(17)

Any provision of Federal law (popularly known as whistleblower protection provisions) prohibiting the discharge of an employee, the discrimination against an employee, or any other form of retaliation or reprisal against an employee for asserting rights or taking other actions permitted under Federal law.

(18) Any provision of Federal, State, or local law, or common law claims permitted under Federal, State, or local law—

(i)

providing for the enforcement of civil rights, or

(ii)

regulating any aspect of the employment relationship, including claims for wages, compensation, or benefits, or prohibiting the discharge of an employee, the discrimination against an employee, or any other form of retaliation or reprisal against an employee for asserting rights or taking other actions permitted by law.

(Aug. 16, 1954, ch. 736, 68A Stat. 17 ; Pub. L. 87–792, § 7(b) , Oct. 10, 1962 , 76 Stat. 828 ; Pub. L. 88–272, title II, § 213(b) , Feb. 26, 1964 , 78 Stat. 52 ; Pub. L. 91–172, title V, § 531(b) , Dec. 30, 1969 , 83 Stat. 655 ; Pub. L. 93–406, title II , §§ 2002(a)(2), 2005(c)(9), Sept. 2, 1974 , 88 Stat. 959 , 992; Pub. L. 93–483, § 6(a) , Oct. 26, 1974 , 88 Stat. 1458 ; Pub. L. 94–455, title V, § 502(a) , title XV, § 1501(b)(1), title XIX, § 1901(a)(8), (9), Oct. 4, 1976 , 90 Stat. 1559 , 1735, 1765; Pub. L. 95–615, § 203(b) , Nov. 8, 1978 , 92 Stat. 3106 ; Pub. L. 96–451, title III, § 301(b) , Oct. 14, 1980 , 94 Stat. 1990 ; Pub. L. 96–608, § 3(a) , Dec. 28, 1980 , 94 Stat. 3551 ; Pub. L. 97–34, title I , §§ 103(b), 112(b)(2), title III, § 311(h)(1), Aug. 13, 1981 , 95 Stat. 187 , 195, 282; Pub. L. 97–354, § 5(a)(17) , Oct. 19, 1982 , 96 Stat. 1693 ; Pub. L. 98–369, div. A, title IV, § 491(d)(2) , July 18, 1984 , 98 Stat. 849 ; Pub. L. 99–514, title I , §§ 131(b)(1), 132(b), (c), title III, § 301(b)(1), title XVIII, § 1875(c)(3), Oct. 22, 1986 , 100 Stat. 2113 , 2115, 2116, 2217, 2894; Pub. L. 100–485, title VII, § 702(a) , Oct. 13, 1988 , 102 Stat. 2426 ; Pub. L. 100–647, title I, § 1001(b)(3)(A) , title VI, § 6007(b), Nov. 10, 1988 , 102 Stat. 3349 , 3687; Pub. L. 101–508, title XI, § 11802(e)(1) , Nov. 5, 1990 , 104 Stat. 1388–530 ; Pub. L. 102–318, title V, § 521(b)(2) , July 3, 1992 , 106 Stat. 310 ; Pub. L. 102–486, title XIX, § 1913(a)(2) , Oct. 24, 1992 , 106 Stat. 3019 ; Pub. L. 103–66, title XIII, § 13213(c)(1) , Aug. 10, 1993 , 107 Stat. 474 ; Pub. L. 104–188, title I, § 1401(b)(4) , Aug. 20, 1996 , 110 Stat. 1788 ; Pub. L. 104–191, title III, § 301(b) , Aug. 21, 1996 , 110 Stat. 2048 ; Pub. L. 105–34, title II, § 202(b) , title IX, § 975(a), Aug. 5, 1997 , 111 Stat. 808 , 898; Pub. L. 106–554, § 1(a)(7) [title II, § 202(b)(1)] , Dec. 21, 2000 , 114 Stat. 2763 , 2763A–629; Pub. L. 107–16, title IV, § 431(b) , June 7, 2001 , 115 Stat. 68 ; Pub. L. 107–147, title IV, § 406(a) , (b), Mar. 9, 2002 , 116 Stat. 43 ; Pub. L. 108–121, title I, § 109(b) , Nov. 11, 2003 , 117 Stat. 1341 ; Pub. L. 108–173, title XII, § 1201(b) , Dec. 8, 2003 , 117 Stat. 2476 ; Pub. L. 108–311, title III, § 307(a) , Oct. 4, 2004 , 118 Stat. 1179 ; Pub. L. 108–357, title VII, § 703(a) , (b), Oct. 22, 2004 , 118 Stat. 1546 , 1547; Pub. L. 109–135, title IV, § 412(q) , Dec. 21, 2005 , 119 Stat. 2638 ; Pub. L. 109–432, div. A, title I, § 108(a) , title IV, § 406(a)(3), Dec. 20, 2006 ,

120 Stat. 2939 , 2959; Pub. L. 110–343, div. C, title II, § 203(a) , Oct. 3, 2008 , 122 Stat. 3864 ; Pub. L. 111–312, title VII, § 721(a) , Dec. 17, 2010 , 124 Stat. 3316 ; Pub. L. 112–240, title II, § 201(a) , Jan. 2, 2013 , 126 Stat. 2323 ; Pub. L. 113–295, div. A, title I, § 101(a) , title II, § 221(a)(34)(C), Dec. 19, 2014 , 128 Stat. 4012 , 4042; Pub. L. 114–113, div. Q, title I, § 104(a) –(c), Dec. 18, 2015 , 129 Stat. 3045 ; Pub. L. 115–97, title I, §§ 11002(d)(1)(J), 11011(b)(1), 11051(b)(2)(A), Dec. 22, 2017 , 131 Stat. 2060 , 2070, 2089; Pub. L. 115–123, div. D, title II, § 41107(a) , Feb. 9, 2018 , 132 Stat. 158 ; Pub. L. 115–141, div. T, § 101(a)(2)(B) , div. U, title IV, § 401(a)(31), (32), Mar. 23, 2018 , 132 Stat. 1155 , 1185, 1186; Pub. L. 116–92, div. A, title XI, § 1122(d)(2)(B) , Dec. 20, 2019 , 133 Stat. 1609 ; Pub. L. 116–136, div. A, title II, § 2204(a) , (b), Mar. 27, 2020 , 134 Stat. 345 ; Pub. L. 116–260, div. EE, title I, § 104(b)(2)(A) , title II, § 212(c), Dec. 27, 2020 , 134 Stat. 3041 , 3068.)

[1] See References in Text note below.

#### Inflation Adjusted Items for Certain Years

For inflation adjustment of certain items in this section, see Revenue Procedures listed in a table under section 1 of this title .

## 26 U.S. Code § 63 - Taxable income defined

U.S. Code

Notes

[prev](#) | [next](#)

(a) In general

Except as provided in subsection (b), for purposes of this subtitle, the term “ taxable income ” means gross income minus the deductions allowed by this chapter (other than the standard deduction ).

(b) Individuals who do not itemize their deductions In the case of an individual who does not elect to itemize his deductions for the taxable year, for purposes of this subtitle, the term “ taxable income ” means adjusted gross income , minus—

(1)

the standard deduction ,

(2)

the deduction for personal exemptions provided in section 151,

(3)

any deduction provided in section 199A,

(4)

the deduction provided in section 170(p),

(5)

the deduction provided in section 224,



(6)

the deduction provided in section 225 and [1]

(7)

so much of the deduction allowed by section 163(a) as is attributable to the exception under section 163(h)(4)(A).

(c) Standard deduction For purposes of this subtitle—

(1) In general Except as otherwise provided in this subsection, the term “ standard deduction ” means the sum of—

(A)

the basic standard deduction , and

(B)

the additional standard deduction .

(2) Basic standard deduction For purposes of paragraph (1), the basic standard deduction is—

(A) 200 percent of the dollar amount in effect under subparagraph (C) for the taxable year in the case of—

(i)

a joint return, or

(ii)

a surviving spouse (as defined in section 2(a)),

(B)

\$4,400 in the case of a head of household (as defined in section 2(b)), or

(C)

\$3,000 in any other case.

(3) Additional standard deduction for aged and blind

For purposes of paragraph (1), the additional standard deduction is the sum of each additional amount to which the taxpayer is entitled under subsection (f).

(4) Adjustments for inflation In the case of any taxable year beginning in a calendar year after 1988, each dollar amount contained in paragraph (2)(B), (2)(C), or (5) or subsection (f) shall be increased by an amount equal to—

(A)

such dollar amount, multiplied by

(B) the cost-of-living adjustment determined under section 1(f)(3) for the calendar year in which the taxable year begins, by substituting for “calendar year 2016” in subparagraph (A)(ii) thereof—

(i)

“calendar year 1987” in the case of the dollar amounts contained in paragraph (2)(B), (2)(C), or (5)(A) or subsection (f), and

(ii)

“calendar year 1997” in the case of the dollar amount contained in paragraph (5)(B).

(5) Limitation on basic standard deduction in the case of certain dependents In the case of an individual with respect to whom a deduction under section 151 is allowable to another taxpayer for a taxable year beginning in the calendar year in which the individual’s taxable year begins, the basic standard deduction applicable to such individual for such individual’s taxable year shall not exceed the greater of—

(A)

\$500, or

(B)

the sum of \$250 and such individual’s earned income .

(6) Certain individuals, etc., not eligible for standard deduction In the case of—

(A)

a married individual filing a separate return where either spouse itemizes deductions,

(B)

a nonresident alien individual,

(C)

an individual making a return under section 443(a)(1) for a period of less than 12 months on account of a change in his annual accounting period, or

(D)

an estate or trust, common trust fund, or partnership,

the standard deduction shall be zero.

(7) Special rules for taxable years beginning after 2017 In the case of a taxable year beginning after December 31, 2017 —

(A) Increase in standard deduction Paragraph (2) shall be applied—

(i)

by substituting “\$23,625” for “\$4,400” in subparagraph (B), and

(ii)

by substituting “\$15,750” for “\$3,000” in subparagraph (C).

(B) Adjustment for inflation

(i) In general

Paragraph (4) shall not apply to the dollar amounts contained in paragraphs (2)(B) and (2)(C).

(ii) Adjustment of increased amounts In the case of a taxable year beginning after 2025, the \$23,625 and \$15,750 amounts in subparagraph (A) shall each be increased by an amount equal to—

(I)

such dollar amount, multiplied by

(II)

the cost-of-living adjustment determined under section 1(f)(3) for the calendar year in which the taxable year begins, determined by substituting “2024” for “2016” in subparagraph (A)(ii) thereof.

If any increase under this clause is not a multiple of \$50, such increase shall be rounded to the next lowest multiple of \$50.

(d) Itemized deductions For purposes of this subtitle, the term “ itemized deductions ” means the deductions allowable under this chapter other than—

(1)

the deductions allowable in arriving at adjusted gross income , and

(2)

any deduction referred to in any paragraph of subsection (b).

(e) Election to itemize

(1) In general

Unless an individual makes an election under this subsection for the taxable year, no itemized deduction shall be allowed for the taxable year. For purposes of this subtitle, the determination of whether a deduction is allowable under this chapter shall be made without regard to the preceding sentence.

(2) Time and manner of election

Any election under this subsection shall be made on the taxpayer’s return, and the Secretary shall prescribe the manner of signifying such election on the return.

(3) Change of election Under regulations prescribed by the Secretary, a change of election with respect to itemized deductions for any taxable year may be made after the filing of the return for such year. If the spouse of the taxpayer filed a separate return for any taxable year corresponding to the taxable year of the taxpayer, the change shall not be allowed unless, in accordance with such regulations—

(A)

the spouse makes a change of election with respect to itemized deductions , for the taxable year covered in such separate return, consistent with the change of treatment sought by the taxpayer, and

(B)

the taxpayer and his spouse consent in writing to the assessment (within such period as may be agreed on with the Secretary) of any deficiency, to the extent attributable to such change of election, even though at the time of the filing of such consent the assessment of such deficiency would otherwise be prevented by the operation of any law or rule of law.

This paragraph shall not apply if the tax liability of the taxpayer's spouse for the taxable year corresponding to the taxable year of the taxpayer has been compromised under section 7122.

(f) Aged or blind additional amounts

(1) Additional amounts for the aged The taxpayer shall be entitled to an additional amount of \$600—

(A)

for himself if he has attained age 65 before the close of his taxable year, and

(B)

for the spouse of the taxpayer if the spouse has attained age 65 before the close of the taxable year and an additional exemption is allowable to the taxpayer for such spouse under section 151(b).

(2) Additional amount for blind The taxpayer shall be entitled to an additional amount of \$600—

(A)

for himself if he is blind at the close of the taxable year, and

(B)

for the spouse of the taxpayer if the spouse is blind as of the close of the taxable year and an additional exemption is allowable to the taxpayer for such spouse under section 151(b).

For purposes of subparagraph (B), if the spouse dies during the taxable year the determination of whether such spouse is blind shall be made as of the time of such death.

(3) Higher amount for certain unmarried individuals

In the case of an individual who is not married and is not a surviving spouse, paragraphs (1) and (2) shall be applied by substituting "\$750" for "\$600".

(4) Blindness defined

For purposes of this subsection, an individual is blind only if his central visual acuity does not exceed 20/200 in the better eye with correcting lenses, or if his visual acuity is greater than 20/200 but is accompanied by a limitation in the fields of vision such that the widest diameter of the visual field subtends an angle no greater than 20 degrees.

(g) Marital status

For purposes of this section, marital status shall be determined under section 7703.

(Aug. 16, 1954, ch. 736, 68A Stat. 18 ; Pub. L. 95-30, title I, § 102(a) , May 23, 1977 , 91 Stat. 135 ; Pub. L. 95-600, title I, § 101(b) , Nov. 6, 1978 , 92 Stat. 2769 ; Pub. L. 97-34, title I, §§ 104(b), 111(b)(4), 121(b), (c)(2), Aug. 13, 1981 , 95 Stat. 189 , 194, 196, 197; Pub. L. 99-514, title I, § 102(a) , title XII, § 1272(d)(6), Oct. 22, 1986 , 100 Stat. 2099 , 2594; Pub. L. 100-647, title I, § 1001(b)(1) , Nov. 10, 1988 , 102 Stat. 3349 ;

Pub. L. 101–508, title XI, §§ 11101(d)(1)(D), 11801(a)(4), Nov. 5, 1990, 104 Stat. 1388–405, 1388–520; Pub. L. 103–66, title XIII, § 13201(b)(3)(D), Aug. 10, 1993, 107 Stat. 459; Pub. L. 105–34, title XII, § 1201(a), Aug. 5, 1997, 111 Stat. 993; Pub. L. 107–16, title III, § 301(a), (b), (c)(2), June 7, 2001, 115 Stat. 53, 54; Pub. L. 107–147, title IV, § 411(e), Mar. 9, 2002, 116 Stat. 46; Pub. L. 108–27, title I, § 103(a), May 28, 2003, 117 Stat. 754; Pub. L. 108–311, title I, § 101(b), Oct. 4, 2004, 118 Stat. 1167; Pub. L. 110–289, div. C, title I, § 3012(a), (b), July 30, 2008, 122 Stat. 2891, 2892; Pub. L. 110–343, div. C, title II, § 204(a), title VII, § 706(b)(1), (2), Oct. 3, 2008, 122 Stat. 3865, 3922; Pub. L. 111–5, div. B, title I, § 1008(c), Feb. 17, 2009, 123 Stat. 318; Pub. L. 113–295, div. A, title II, § 221(a)(13), Dec. 19, 2014, 128 Stat. 4039; Pub. L. 115–97, title I, §§ 11002(d)(1)(K), 11011(b)(2), (3), 11021(a), Dec. 22, 2017, 131 Stat. 2060, 2070, 2072; Pub. L. 115–141, div. T, § 101(a)(2)(A), Mar. 23, 2018, 132 Stat. 1155; Pub. L. 116–260, div. EE, title II, § 212(b), Dec. 27, 2020, 134 Stat. 3067; Pub. L. 119–21, title VII, §§ 70102(a), (b), 70201(b), 70202(b), 70203(b), July 4, 2025, 139 Stat. 158, 171, 174, 177.)

[1] So in original. Probably should be preceded by a comma.

#### Inflation Adjusted Items for Certain Years

For inflation adjustment of certain items in this section, see Revenue Procedures listed in a table under section 1 of this title .